

homes, so this wasn't his field) found on a trip to Texas; Dunkin' Donuts, I loved the coffee; and recently the revamped Pier 1 Imports, recommended by my wife. In fact, Carolyn is one of my best sources. She's the one who discovered L'eggs.

L'eggs is the perfect example of the power of common knowledge. It turned out to be one of the two most successful consumer products of the seventies. In the early part of that decade, before I took over Fidelity Magellan, I was working as a securities analyst at the firm. I knew the textile business from having traveled the country visiting textile plants, calculating profit margins, price/earnings ratios, and the esoterica of warps and woofs. But none of this information was as valuable as Carolyn's. I didn't find L'eggs in my research, she found it by going to the grocery store.

Right there in a freestanding metal rack near the checkout counter was a new display of women's panty hose, packaged in colorful plastic eggs. The company, Hanes, was test-marketing L'eggs at several sites around the country, including suburban Boston. When Hanes interviewed hundreds of women leaving the test supermarkets and asked them if they'd just bought panty hose, a high percentage answered yes. Yet most of them couldn't recall the name of the brand. Hanes was ecstatic. If a product becomes a best-seller without brand-name recognition, imagine how it will sell once the brand is publicized.

Carolyn didn't need to be a textile analyst to realize that L'eggs was a superior product. All she had to do was buy a pair and try them on. These stockings had what they call a heavier denier, which made them less likely to develop a run than the normal stockings. They also fit very well, but the main attraction was convenience. You could pick up L'eggs right next to the bubble gum and the razor blades, and without having to make a special trip to the department store.

Hanes already sold its regular brand of stockings in the department stores and the specialty stores. However, the company had determined that women customarily visit one or the other every six weeks, on average, whereas they go to the grocery store twice a week, which gives them twelve chances to buy L'eggs for every one chance to buy the regular brand. Selling stockings in the grocery store was an immensely popular idea. You could have figured that out by seeing the number of women with plastic eggs in their grocery carts at the checkout counter. You could just imagine how many L'eggs were going to be sold nationwide, after the word got out.

How many women who bought panty hose, store clerks who saw the women buying panty hose, and husbands who saw the women coming home with the panty hose knew about the success of L'eggs? Millions. Two or three years after the product was introduced, you could have walked into any one of thousands of supermarkets and realized that this was a best-seller. From there, it was easy